

Equity Research Engine

Oscar Schjelderup

Kid – A wonderful business at a fair price

Initiation of coverage – BUY, target price NOK 130.00

21.09.2026

Analyst

Presenting a model-driven investment case on Kid ASA.



OS

University: Copenhagen Business School

Year of study: 2nd year

Experience: HA Invest member

Oscar Schjelderup

Company overview

Kid ASA – Home furnishing retail in Norway, Sweden, Finland, Estonia

7.5% revenue CAGR, 12.3% EBITDA margin and 1.5x net debt/EBITDA — market cap NOK 4.8bn

Company snapshot1

Sector: Home furnishing retail
Footprint: Norway, Sweden, Finland, Estonia
Business model: Vertically integrated private-label retail (Kid, Hemtex)
Scale: Employees: 454 | Revenue 2025A: NOK 3,945m
Market cap: NOK 4,829m | EV NOK 5,551m
Share price: NOK 118.80 | 52w range 112.0–154.6

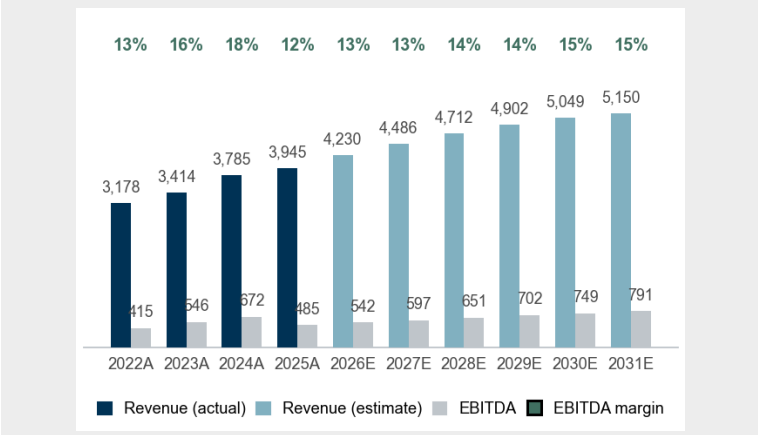
Investment highlights2

- **Consistent growth:** revenue compounded at 7.5% p.a. over 2022–2025, reaching NOK 3,945m
- **Margin profile:** pre-IFRS 16 EBITDA margin of 12.3% in 2025A (down from 13.1% in 2022A), EBIT margin 8.7%
- **Weak cash conversion:** unlevered FCF of NOK 13m in 2025A, 3% of EBITDA (average 44% over 2022–2025), ROIC 13%
- **Balance sheet:** net debt of NOK 722m equals 1.5x EBITDA, a conservative leverage level

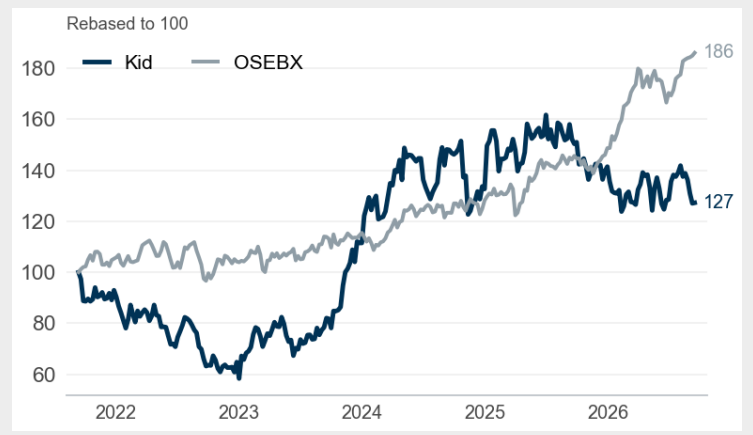
Management team3

- MF** Marianne Fulford
CEO
- MK** Mads Kigen
CFO
- SB** Stian Brandhagen
Head of Sustainability
- JG** Josephine Gisaesus
Sourcing Director & Primary Insider

Revenue and EBITDA (NOKm)4



Share price vs OSEBX (5 years)5



Key ratios6

	2023A	2024A	2025A	2026E	2027E
Revenue growth	7.4%	10.9%	4.2%	7.2%	6.1%
EBITDA margin	16.0%	17.8%	12.3%	12.8%	13.3%
EBIT margin	12.8%	14.3%	8.7%	9.4%	9.9%
FCF margin	12.9%	9.5%	0.3%	4.9%	5.7%
ROIC	18.6%	21.3%	12.5%	–	–
Net debt / EBITDA	0.5x	0.4x	1.5x	–	–
Payout ratio	74%	66%	133%	–	–

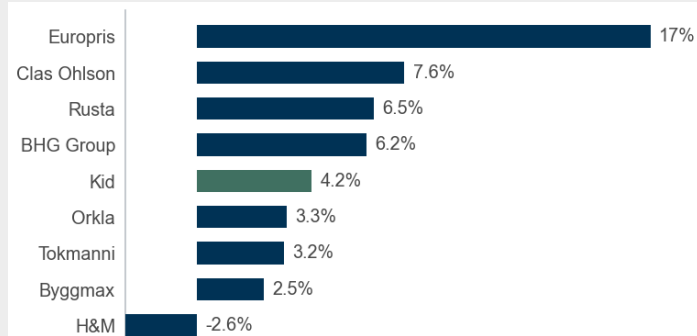
Sources: Company reports, Yahoo Finance, Equity Research Engine estimates
For illustration only — not investment advice

Market overview

Kid versus peer group: growth, profitability and the drivers behind the case

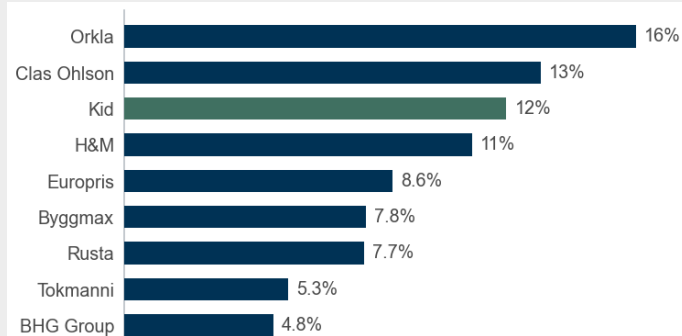
Revenue growth vs peers (last fiscal year)

1



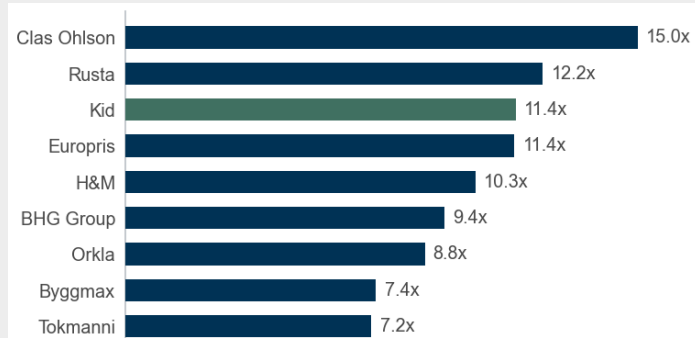
EBITDA margin vs peers (lease-adjusted)

2



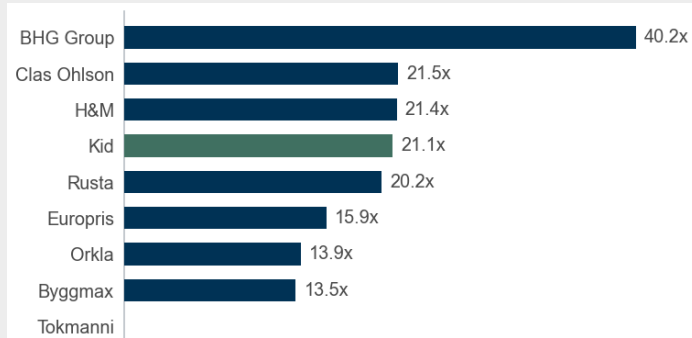
EV/EBITDA vs peers

3



P/E vs peers (trailing)

4



Opportunities

- Swedish recovery supports the Hemtex segment
- Opportunity to **increase square metres per store** and sell the full range in existing stores

Disruption

- Direct-to-consumer** online players threaten in-store sales
- Competitors adopting **AI-driven inventory management**

Threats

- Potential **cost spikes in raw material and freight prices**
- Tariffs on Chinese production** would hit sourcing costs

Financials and estimates

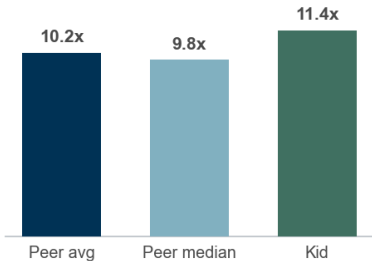
Kid financials, pre-IFRS 16 basis (NOKm)

	HISTORICAL				FORECAST						
NOKm	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	TV
Revenue	3,178	3,414	3,785	3,945	4,230	4,486	4,712	4,902	5,049	5,150	5,253
Growth	–	7.4%	10.9%	4.2%	7.2%	6.1%	5.0%	4.0%	3.0%	2.0%	2.0%
EBITDA	415	546	672	485	542	597	651	702	749	791	806
Margin	13.1%	16.0%	17.8%	12.3%	12.8%	13.3%	13.8%	14.3%	14.8%	15.3%	15.3%
EBIT	330	438	541	343	397	444	491	535	577	615	627
Margin	10.4%	12.8%	14.3%	8.7%	9.4%	9.9%	10.4%	10.9%	11.4%	11.9%	11.9%
NOPAT	258	342	433	273	310	346	383	417	450	480	489
Margin	8.1%	10.0%	11.4%	6.9%	7.3%	7.7%	8.1%	8.5%	8.9%	9.3%	9.3%
Unlevered FCF	162	442	358	13	207	257	309	363	416	467	476
FCF margin	5.1%	12.9%	9.5%	0.3%	4.9%	5.7%	6.6%	7.4%	8.2%	9.1%	9.1%
Multiples (at current price)	2025A	2026E	2027E	2028E	Consensus (4 analysts) Target: NOK 139.50 (range 125–155) Ratings: 2 buy / 2 hold / 0 sell Engine: BUY, TP NOK 130.00 (+9%)						
EV/Sales	1.4x	1.3x	1.2x	1.2x							
EV/EBITDA	11.4x	10.3x	9.3x	8.5x							
EV/EBIT	16.2x	14.0x	12.5x	11.3x							
P/E	21.1x	18.1x	15.9x	14.2x							
FCF yield	0.3%	4.3%	5.3%	6.4%							

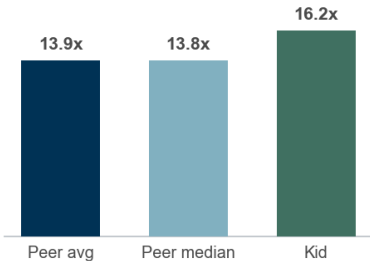
Financial commentary

- **Kid grew revenue by 4.2% in 2025A** to NOK 3,945m, with pre-IFRS 16 EBITDA of NOK 485m (12.3% margin)
- **We forecast 2026E revenue of NOK 4,230m (+7.2%)**, anchored on consensus (4 analysts), fading to 2.0% terminal growth by 2031E
- **EBITDA margin path:** 12.8% in 2026E to 15.3% in 2031E; D&A 3.4% and capex 5.6% normalising to 3.6% of revenue; tax rate 22%
- **Unlevered FCF** rises from NOK 207m to NOK 467m over the forecast period (9.1% FCF margin in 2031E)
- **Valuation vs peers:** Kid trades at 11.4x LTM EV/EBITDA versus a peer median of 9.8x (+17%) and 21.1x P/E versus 20.2x
- **Street view:** consensus target of NOK 139.50 across 4 analysts (+17% vs current price)

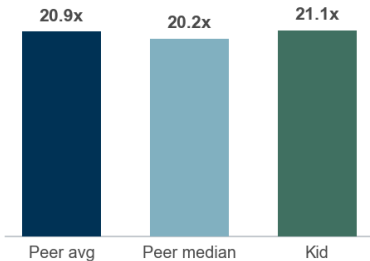
EV/EBITDA (LTM)



EV/EBIT (LTM)



P/E (LTM)



Sources: Company reports, Yahoo Finance, Equity Research Engine estimates; peer multiples on last reported fiscal year
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Valuation and recommendation

We recommend a BUY. Our 12-month target price of NOK 130.00 implies +9% upside and a +16% total return including dividend; 10.3x 2026E EV/EBITDA.

DCF fair value NOK 126.74, peer multiples NOK 99.28, scenario-weighted NOK 130.92 versus a share price of NOK 118.80 — BUY

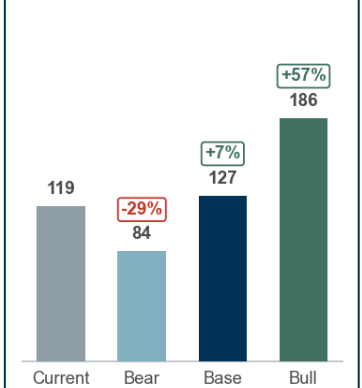
BUY – 12m TP NOK 130.00 · medium agreement

- **DCF value of NOK 126.74 per share** (WACC 8.6%, terminal growth 2.0%); terminal value is 75% of EV, implying 9.1x exit EV/EBITDA
- **Peer multiples imply NOK 99.28 per share** (median of EV/EBITDA, EV/EBIT and P/E-based values)
- **Scenarios:** bear NOK 84 / base NOK 127 / bull NOK 186; probability-weighted NOK 130.92
- **12-month target price NOK 130.00:** fair value NOK 126.74 rolled forward at the 8.8% cost of equity less NOK 7.50 dividend; expected total return +16%, rating BUY

DCF valuation – Sensitivity analysis (value per share)

Terminal growth \ WACC	7.09%	7.59%	8.09%	8.59%	9.09%	9.59%	10.09%
1.25%	152.2	137.8	125.6	115.0	105.7	97.6	90.5
1.50%	158.5	143.0	129.9	118.6	108.9	100.3	92.8
1.75%	165.3	148.6	134.5	122.5	112.2	103.2	95.3
2.00%	172.8	154.7	139.5	126.7	115.8	106.2	97.9
2.25%	181.0	161.3	145.0	131.3	119.6	109.5	100.7
2.50%	190.2	168.6	151.0	136.2	123.7	113.0	103.7
2.75%	200.4	176.7	157.5	141.5	128.1	116.7	106.9

DCF scenarios

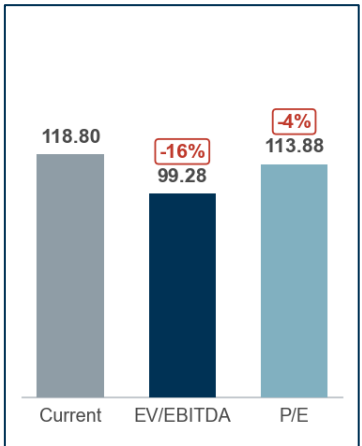


Valuation summary – Football field



Multiple valuation and what the price implies

- **Trading at a premium:** 11.4x EV/EBITDA vs 9.8x peer median (17% premium)
- **Earnings multiple:** 21.1x trailing P/E vs 20.2x for peers (+4%)
- **Versus own history:** 11.4x trailing EV/EBITDA is above the 3.5-year median of 9.5x (83% of weeks were cheaper)
- **EV/EBITDA-implied value:** NOK 99.28 at the peer median of 9.8x (range 83–121 across the 25th–75th percentile)
- **Market-implied WACC 8.9%**, in line with our 8.6%: the price discounts our cash flows at 35bp more than we do
- **Market-implied margin:** at our WACC the price is consistent with a 2031E EBITDA margin of 14.8% versus 15.3% in our base case
- **Cross-check – medium agreement:** the DCF is 28% above the peer-multiple value (NOK 99.28) and our target is 7% below the consensus of 4 analysts (NOK 139.50); review the growth, margin and WACC assumptions before relying on the target



Cost of capital and DCF build-up

WACC 8.59% and terminal growth 2.00% give a fair value of NOK 126.74 per share

WACC build-up

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Component	Value
Risk-free rate	3.80%
Beta (raw)	0.56
Beta (adjusted, used)	0.71
Equity risk premium	5.00%
Size premium	1.50%
Cost of equity	8.83%
Cost of debt (pre-tax)	9.01%
Tax rate	22.0%
Cost of debt (after tax)	7.02%
Weight of equity	87.0%
Weight of debt	13.0%
WACC	8.59%

Beta: Yahoo Finance (5y monthly); regression vs OSEBX rejected ($R^2=0.03 < 0.10$), Blume-adjusted.
Size premium 1.50% (market cap USD 0.5bn).
Cost of debt: interest expense / average debt.

DCF build-up (NOKm)

2

	2026E	2027E	2028E	2029E	2030E	2031E
Unlevered FCF	207	257	309	363	416	467
Discount factor	0.921	0.848	0.781	0.719	0.662	0.610
PV of FCF	191	218	241	261	275	285
Bridge to value per share						NOKm
Sum of PV of FCF						1,471
Terminal value (Gordon growth)						7,221
PV of terminal value						4,403
Enterprise value						5,874
Less: net debt						(722)
Less: minority interest						0
Equity value						5,151
Shares outstanding (m)						40.6
Fair value per share (NOK)						126.74
x (1 + cost of equity 8.83%)						137.93
Less: expected dividend per share						(7.50)
12-month target price (NOK, rounded)						130.00

What the share price implies

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- **Implied WACC:** 8.95% vs our 8.59%
- **Implied terminal growth:** 1.51% vs our 2.00%
- **Implied 2031E EBITDA margin:** 14.8% vs our 15.3%
- Each figure solves for the one input that makes the DCF equal today's price, holding the others at the base case

Key checks

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- **Terminal value** is 75% of enterprise value
- **Implied exit multiple:** 9.1x EV/EBITDA vs 11.4x today
- **WACC – g spread:** 6.59%
- **Net debt / EBITDA:** 1.5x

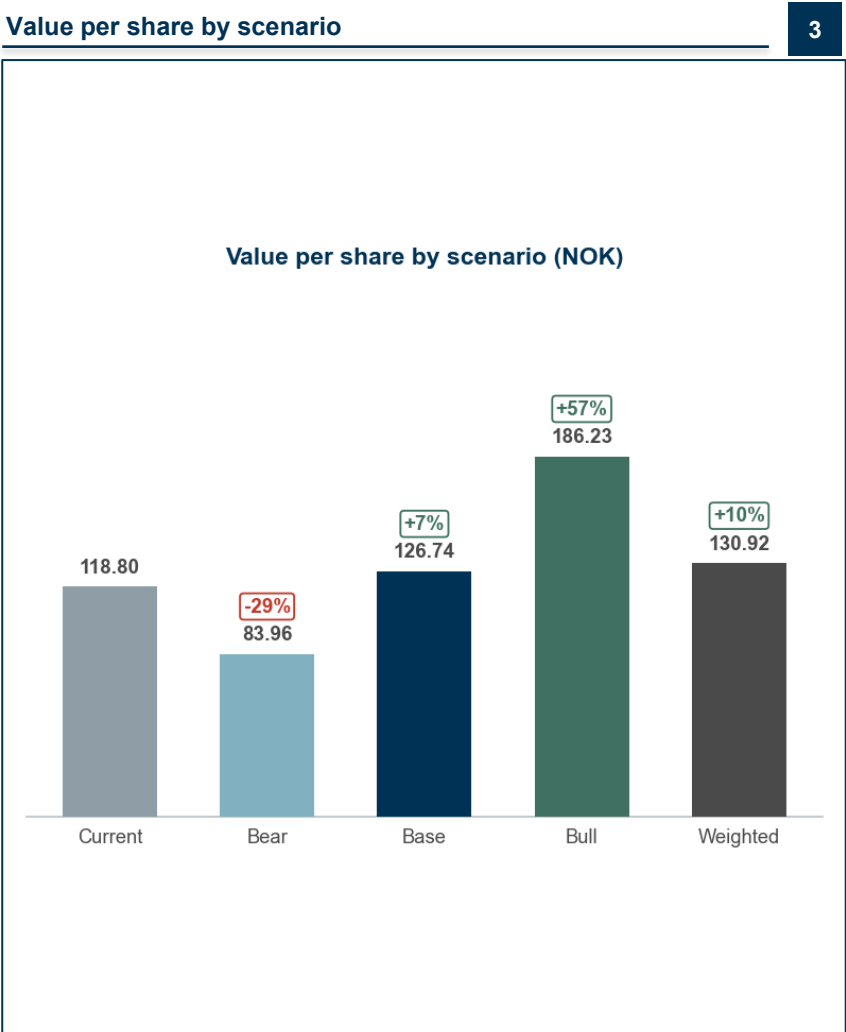
Scenario analysis

Probability-weighted value of NOK 130.92 per share versus a share price of NOK 118.80

Scenario table1

Scenario	Probability	Growth shift	Margin shift	WACC	Terminal g	Revenue CAGR	2031E margin	Value (NOK)	vs price
Bear	25%	-2.0%	-1.5%	9.09%	1.75%	2.5%	13.8%	83.96	-29%
Base	50%	+0.0%	+0.0%	8.59%	2.00%	4.5%	15.3%	126.74	+7%
Bull	25%	+2.0%	+1.5%	8.09%	2.25%	6.5%	16.8%	186.23	+57%
Probability-weighted	100%							130.92	+10%

- What drives each case2
- **Bear (25%):** Growth 2pp lower, margin 1.5pp lower, WACC +50bp; revenue CAGR 2.5%, 2031E margin 13.8%, WACC 9.1% gives NOK 83.96 (-29% vs price)
 - **Base (50%):** Base-case drivers; revenue CAGR 4.5%, 2031E margin 15.3%, WACC 8.6% gives NOK 126.74 (+7% vs price)
 - **Bull (25%):** Growth 2pp higher, margin 1.5pp higher, WACC -50bp; revenue CAGR 6.5%, 2031E margin 16.8%, WACC 8.1% gives NOK 186.23 (+57% vs price)
 - Shifts are additive to the base case: growth applies to every forecast year, the margin shift to the whole EBITDA margin path; capex and working capital follow revenue as in the base case



Peer group detail

Multiples on the last reported fiscal year, enterprise value on the same lease basis as the target company

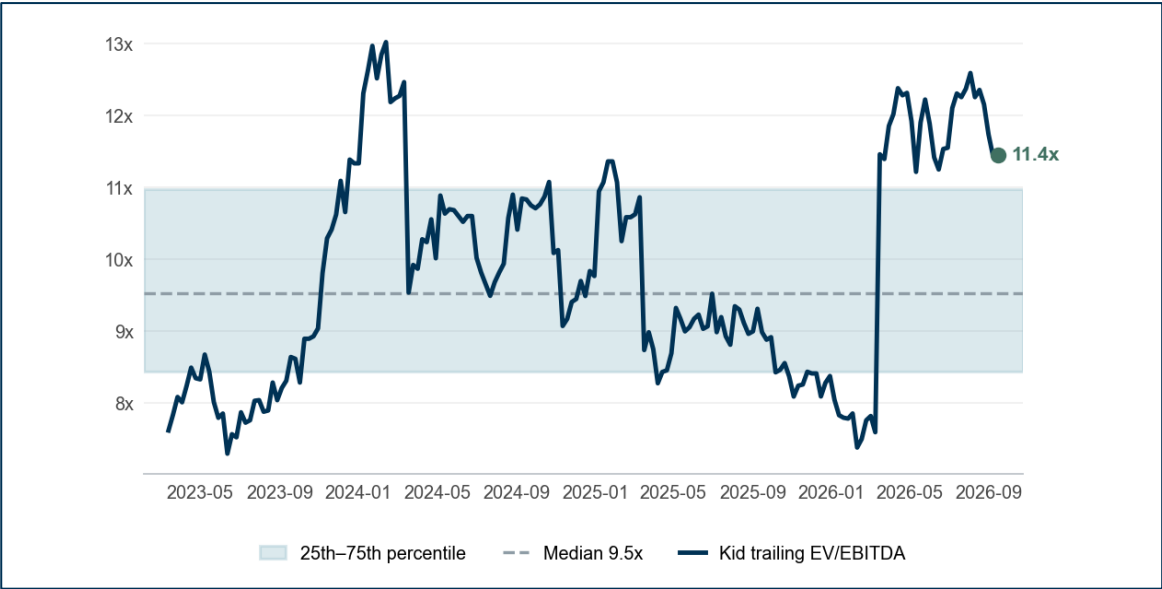
Company	Group	Mkt cap (NOKm)	EV (NOKm)	Rev. growth	EBITDA margin	EV/Sales	EV/EBITDA	EV/EBIT	P/E	P/E (fwd)
Europris	Nordic retail	13,633	14,541	16.7%	8.6%	1.0x	11.4x	13.2x	15.9x	12.2x
Clas Ohlson	Nordic retail	25,836	24,080	7.6%	13.4%	2.0x	15.0x	16.9x	21.5x	33.3x
Rusta	Nordic retail	11,514	11,361	6.5%	7.7%	0.9x	12.2x	15.5x	20.2x	16.6x
Tokmanni	Nordic retail	4,449	7,098	3.2%	5.3%	0.4x	7.2x	11.3x	–	9.0x
BHG Group	Nordic retail	3,375	4,534	6.2%	4.8%	0.4x	9.4x	12.8x	40.2x	16.1x
Bygghem	Nordic retail	3,015	3,354	2.5%	7.8%	0.6x	7.4x	14.5x	13.5x	16.1x
Orkla	Nordic consumer	87,662	103,402	3.3%	16.5%	1.4x	8.8x	11.2x	13.9x	13.3x
H&M	Nordic consumer	250,946	250,748	-2.6%	11.2%	1.1x	10.3x	15.7x	21.4x	18.6x
Peer median				4.8%	8.2%	1.0x	9.8x	13.8x	20.2x	16.1x
Peer average				5.4%	9.4%	1.0x	10.2x	13.9x	20.9x	16.9x
25th percentile				3.0%	7.1%	0.5x	8.4x	12.4x	14.9x	13.0x
75th percentile				6.8%	11.7%	1.2x	11.6x	15.6x	21.5x	17.1x
Kid	Target	4,829	5,551	4.2%	12.3%	1.4x	11.4x	16.2x	21.1x	14.6x

Valuation through time

Kid trades at 11.4x trailing EV/EBITDA against a 3.5-year median of 9.5x

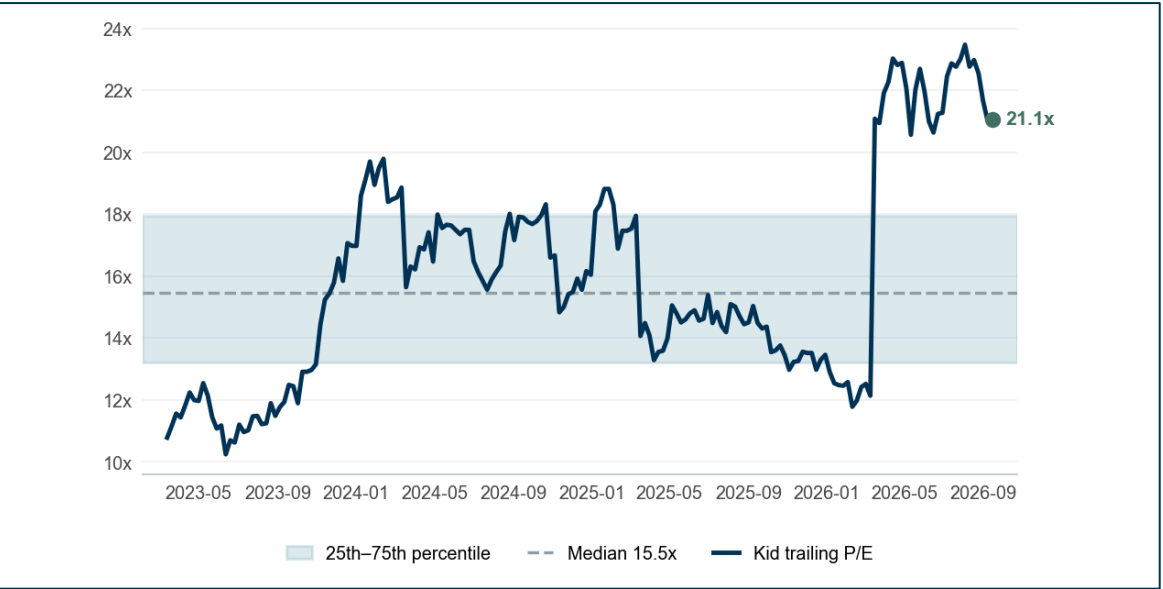
Trailing EV/EBITDA

1



Trailing P/E

2



Reading the bands

3

- **EV/EBITDA:** 11.4x today vs a median of 9.5x and an interquartile band of 8.4x–11.0x; 83% of weeks were cheaper. At its own median the share is worth NOK 95.88 (-19% vs price)
- **P/E:** 21.1x today vs a median of 15.5x and an interquartile band of 13.2x–18.0x; 89% of weeks were cheaper. At its own median the share is worth NOK 87.23 (-27% vs price)
- **Cross-check – medium agreement between the anchors:** the DCF is 28% above the peer-multiple value (NOK 99.28) and our target is 7% below the consensus of 4 analysts (NOK 139.50); review the growth, margin and WACC assumptions before relying on the target
- Each weekly close is paired with the latest fiscal year that was public at the time (75-day reporting lag), on the same lease basis as the model; net debt and the share count step once a year